

for the current quarter, likely boosted by the ongoing festive season, which started early this year. Companies gave a rating of 6.5 out of 10 on their expectations of demand conditions for the third quarter of the fiscal and 6.4 on the overall economic situation. However, this seems to be only for the short term as they remain cautious on hiring conditions, giving a rating of just 4.9 out of 10.

More pointed questions to the respondents also revealed this dichotomy in sentiments. Only 21% planned to hire more in the festive season, although 66% are of the view that the good monsoon has helped to improve rural demand. The Middle East crisis and concerns over an all-out war also weighed in, with 68% of respondents worried that it could impact their businesses.

14 | “There is a heightened uncertainty in terms of the external situation and the impact on India will depend on the exact nature of the changes in policies, particularly in the US,” Nayar also highlights.

Companies also have reservations about a cut in the repo rate in the December meeting of the RBI’s Monetary Policy Committee. Just 37% of respondents expect a rate cut in December, although the MPC changed its stance to ‘neutral’ in October.

With the return of Donald Trump as the US President, there are concerns about his economic policy and the potential fallout for India from higher tariffs on imports and restrictions on visas, which he had pledged during his election campaign.

The RBI’s MPC, which meets again in December, will certainly have its task cut out as it navigates the trade-off between growth and inflation. **BT**

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ADANI GROUP

Indictment and its Aftermath

US prosecutors’ decision to press charges against Gautam Adani and others in a case of alleged bribery could hit the group’s ambitious expansion plans

BY ANAND ADHIKARI

► **THE RECENT INDICTMENT** of the Adani Group Chairman Gautam Adani (*in photo*) and seven others in the US on charges of fraud and bribery have triggered global repercussions for the ports-to-retail conglomerate, apart from a steep initial fall in stock prices.

Prosecutors in New York have indicted Adani, his nephew Sagar Adani, and six others, including a former executive of Adani Green Energy, on counts of fraud over an

alleged scheme to bribe Indian officials around \$250 million to corner solar power contracts.

In a separate development, the US Securities and Exchange Commission filed a civil lawsuit against Adani and his associates for “conduct arising out of a massive bribery scheme”. It alleges that the group raised funds from US investors without revealing this alleged scheme. This comes almost two years after US-based short-seller